
A plain-English breakdown of the biggest AI move of 2026

Microsoft Just Picked Claude.

Microsoft launched Agent 365 and put Claude inside it, next to GPT and its own models. Here's what that actually changes for how you work — no jargon.

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READ TIME

4 minutes

What Just Happened

Microsoft launched a product called **Agent 365**. It's priced at \$15 per user per month. That sounds like a minor line item — it isn't.

Agent 365 is Microsoft's new control panel for AI agents — the dashboard that runs autonomous AI workers inside the Microsoft tools most businesses already use every day: Word, Excel, PowerPoint, OneDrive, SharePoint, and Teams.

And the AI actually doing the work inside Agent 365 isn't just one model. It's Claude, GPT, and Microsoft's own models — with Microsoft automatically routing each task to whichever one handles it best.

THE BIG IDEA

For the first time, Microsoft is running Claude alongside GPT and its own models, choosing which one handles a given task automatically. That's a serious vote of confidence in Claude — and it's about to be running quietly in the background of enterprise Microsoft accounts everywhere.

What Agent 365 Actually Does

In plain English: Agent 365 is the layer that runs and supervises autonomous AI agents inside your Microsoft 365 stack.

An "agent" here just means an AI worker doing a task without you holding its hand — drafting a contract in Word, building a model in Excel, formatting a deck in PowerPoint, moving files in OneDrive, pulling a report from SharePoint. All without a human clicking through each step.

Agent 365 sits above all of that: it decides which model handles which job, controls what agents can and can't touch, and logs everything they do so IT isn't flying blind.

AGENT 365 — routes each task to the best model

Claude

GPT

Microsoft models

Word

Excel

PowerPoint

OneDrive

SharePoint

Teams

Why Microsoft Picked Claude

Microsoft could have stayed exclusively with OpenAI — they have a multi-billion dollar relationship there. They didn't.

Anthropic's models are now front and center inside the Microsoft stack: Claude Sonnet, Haiku, and Opus are live in Microsoft Foundry (the platform Azure customers use to build production AI apps), and Claude is available inside Microsoft 365 Copilot's main chat through Microsoft's "Frontier" program.

Microsoft also built something called **Copilot Cowork** directly with Anthropic — the same "AI that reads your folders and runs tasks on its own" pattern behind Claude Cowork on the desktop, brought inside Microsoft's own product in partnership with the team that built it.

The takeaway: Microsoft made a public bet that Claude is the most capable AI for serious professional work — not a side experiment, the real thing in the real product.

TRANSLATION

If Microsoft — the most risk-averse enterprise software company on the planet — picked Claude to run alongside GPT inside its flagship office tools, the AI landscape is no longer a one-model story. It's a multi-model world now, and Claude has a seat at the table.

The Frontier Suite (E7)

Alongside Agent 365, Microsoft rolled out a new top-tier plan: **Microsoft 365 E7**, also called the Frontier Suite, at \$99 per user per month.

It bundles three things into one plan: Microsoft 365 E5 (the top business tier), Microsoft 365 Copilot (the AI assistant), and Agent 365 (the new agent control layer) — what Microsoft calls "Work IQ."

In short: this is Microsoft's official enterprise package for the AI-agent era. One bundle, every employee, every Microsoft app, Claude and GPT both in the mix.

Microsoft 365 E5

the top business plan

Microsoft 365 Copilot

AI assistant in every app

Agent 365

autonomous agent layer

What This Means for You

1 Claude just got its biggest validation yet

Microsoft doesn't put unproven AI into Word and Excel. Putting Claude there says something about where the industry actually rates it, regardless of marketing noise.

2 Every Microsoft 365 user is about to touch Claude

If your company runs Microsoft 365 with Copilot, Claude will be working in the background of your day soon — even if you never type its name.

3 Multi-model AI is the new default

"I only use ChatGPT" is no longer the safe default. The smart move is matching the model to the task — and Microsoft is now doing that automatically for you.

How to Try It This Week

A If your company already has Microsoft 365

Ask IT whether you're on the Frontier program, or whether your Copilot has a model picker enabled. If so, you can switch to Claude for any task you want to test.

B If you just want to try Claude directly

Go to claude.ai — there's a free tier. Run the same task through it and through ChatGPT and compare. Most people notice the difference within a couple of prompts.

WORTH KNOWING

You don't need Microsoft's license to get the same "AI that works your folders on its own" pattern — Claude Cowork (free, on Mac or Windows) does the same job on your own machine: reads and writes files, sends emails, runs scheduled tasks, and connects to your calendar and inbox.

Tools Mentioned

Claude.ai *Free tier*

The simplest way to try Claude today — no setup, no IT approval, just open it and start.

Microsoft 365 Copilot *Paid, via your employer*

If your company has it, ask about the Frontier program — that's where Claude shows up inside Word, Excel, and Teams.

Claude Cowork (desktop) *Free, claude.ai/download*

The same automation pattern Microsoft licensed, running on your own machine.

Do This Today

- 01** Open claude.ai and run one task you'd normally hand to ChatGPT.
 - 02** If your company has Microsoft 365, ask IT whether Claude is available in your Copilot yet.
 - 03** If you want help actually building on this — not just reading about it — that's what we do. neuraflow.cloud
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